Practice workbook · Forms of business ownership and limited liability

Sole traders, partnerships, private and public limited companies and public corporations: ownership, control, risk, limited liability, and the advantages, drawbacks and suitability of each form.

28 question parts: 1 worked-example retry and 27 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-04

1. Question 1 · part f · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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1. Question 1 · part f · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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1. Question 1 · part f · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

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(b) Define the term **primary sector**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** factor *TBTS* should consider when selecting its manufacturers.

(1)

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Figure 1 is a financial extract from *TBTS* based on the sale of 160 wooden toy carts.

	SGD
Variable costs per unit	0.93
Fixed costs	555.31

Figure 1

(e) Calculate the total costs for *TBTS* of making 160 wooden toy carts. You are advised to show your working.

(2)

.....SGD

1. Question 1 · part f · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(f) Explain **one** advantage of being a sole trader.

(3)

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1. Question 1 · part f · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(g) Analyse the likely impact of external factors on business decisions made by *TBTS*.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.i · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.i only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

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(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

2. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.v · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.v only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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3. Question 1 · part a.v · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.v only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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3. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.i · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.i only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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4. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.iv only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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5. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

- ☒ **A** £600
- ☒ **B** £1 800
- ☒ **C** £2 400
- ☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

- ☒ **A** Sharing the workload
- ☒ **B** Liability for all debts
- ☒ **C** Access to more capital
- ☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

- ☒ **A** $6.20 billion
- ☒ **B** $7.74 billion
- ☒ **C** $8.66 billion
- ☒ **D** $10.64 billion

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5. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

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6. Question 1 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

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6. Question 1 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.i · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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7. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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8. Question 1 · part c · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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8. Question 1 · part c · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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8. Question 1 · part c · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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8. Question 1 · part c · 1 mark · Working and answer

Working and answer

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9. Question 1 · part c · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part c only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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9. Question 1 · part c · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part c only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

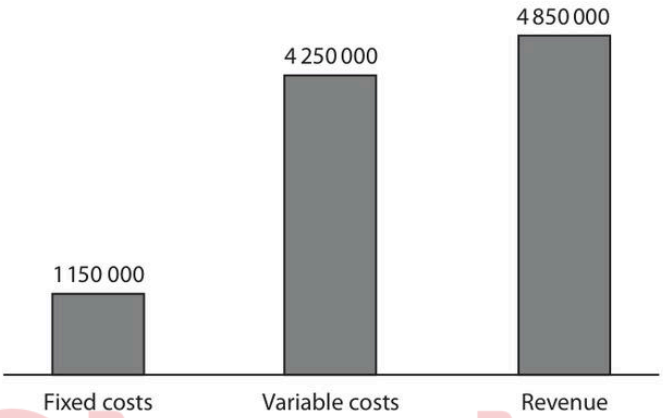


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

☒ **A** Total costs of 10 250 000

☒ **B** Cash inflow of 3 100 000

☒ **C** Loss of 550 000

☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

☒ **A** Being able to choose your own suppliers

☒ **B** Selling an established brand

☒ **C** Not having to pay interest on a bank loan

☒ **D** Having complete control of the business

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9. Question 1 · part c · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part c only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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9. Question 1 · part c · 1 mark · Working and answer

Working and answer

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10. Question 1 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

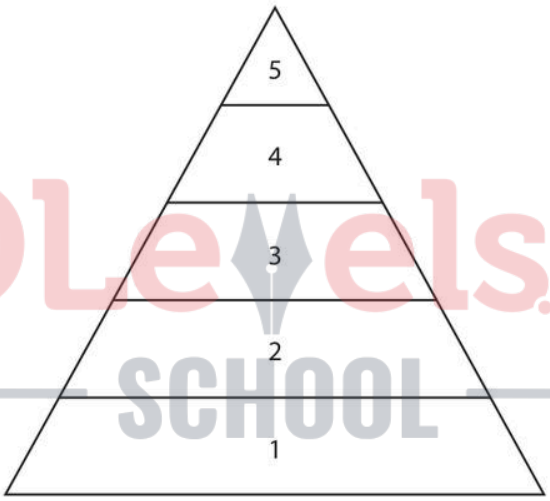


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

10. Question 1 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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10. Question 1 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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10. Question 1 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

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10. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 3 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

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3 *Kraft Heinz* has set itself many targets to reach before 2025. These include reducing its impact on the environment and improving its use of robotic technology for production. It is hoped that these targets will lower the impact *Kraft Heinz* production has on the environment by reducing its waste and greenhouse gases that contribute to global warming.

(a) Define the term **public limited company**.

(1)

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(b) Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.

(2)

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11. Question 3 · part a · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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12. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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12. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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12. Question 1 · part a.iv · 1 mark · Working and answer

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13. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.vi only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

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(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

13. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.vi only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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13. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.vi only.

A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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13. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.vi only.

(b) Define the term **franchise**.

(1)

(c) Define the term **profit**.

(1)

(d) State **one** reason why *TUI* pays its employees above the minimum wage.

(1)

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13. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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14. Question 1 · part c · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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14. Question 1 · part c · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part c only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

Premier Inn then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

Figure 1 – Extract from *Premier Inn* financial report in 2021–2022.

	2021 £ millions	2022 £ millions
Revenue	249.60	772.80

Figure 1

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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14. Question 1 · part c · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

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14. Question 1 · part c · 1 mark · Working and answer

Working and answer

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15. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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15. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.iv only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

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An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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15. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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16. Question 1 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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16. Question 1 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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16. Question 1 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

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(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

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A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

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16. Question 1 · part b · 1 mark · Working and answer

Working and answer

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17. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.iv only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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17. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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17. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.iv only.

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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17. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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18. Question 1 · part f · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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18. Question 1 · part f · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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18. Question 1 · part f · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

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(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

18. Question 1 · part f · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

TADS buys a drum kit for £190 and sells it for £350.

(e) Calculate, to two decimal places, the mark up on this drum kit.

(2)

..... %

(f) Explain **one** disadvantage of being in a partnership.

(3)

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18. Question 1 · part f · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(g) Analyse the importance of location for *TADS*.

(6)

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(Total for Question 1 = 20 marks)

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18. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 2 · part c · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

(1)

(b) State **one** advantage for *Artify* Studio of using part-time employees.

(1)

(c) Explain **one** benefit to a business of being a partnership.

(3)

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19. Question 2 · part c · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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(d) Explain **one** way social media can be used by a business.

(3)

(e) Explain **one** benefit for a business from the introduction of total quality management (TQM).

(3)

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19. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 3 · part b · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

3 *LEGO* ensures its employees are fully prepared to carry out the tasks they are employed for. It looks after and encourages its employees to develop and improve their own skills.

(a) Define the term **delegation**.

(1)

(b) Outline **one** benefit to *LEGO* of being a privately-owned family business.

(2)

An employee working in the offices earns 150 000 DKK. In 2020 *LEGO* gave its employees a 4.5% pay increase.

(c) Calculate the employee's new salary. You are advised to show your working.

(2)

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20. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

21. Question 2 · part d · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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21. Question 2 · part d · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** advantage of a partnership.

(3)

(e) Explain **one** disadvantage to a business of product orientation.

(3)

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21. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

22. Question 1 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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22. Question 1 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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22. Question 1 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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The currency of Iceland is the krona (ISK).

AWG's weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

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(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

22. Question 1 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

AWG sells a woman's jumper on its international website for $329. *AWG* had a promotional sale and offered a discount of 25% on the price of jumpers.

(e) Calculate, to two decimal places, the new price of the jumper in the promotional sale. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business that operates as a sole trader.

(3)

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P 7 4 6 3 3 A 0 6 2 0

22. Question 1 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

(g) Analyse the advantages to *AWG* of using e-commerce to sell its products.

(6)

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(Total for Question 1 = 20 marks)

22. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

23. Question 2 · part d · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

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23. Question 2 · part d · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** advantage of being in a partnership.

(3)

(e) Explain **one** disadvantage to a business of having a hierarchical organisational structure.

(3)

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23. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

24. Question 1 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

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24. Question 1 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

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P 7 5 9 6 0 A 0 4 2 0

24. Question 1 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

The currency of Türkiye is the Turkish lira (TRY).

In 2021 the cost of material for one robot was 80 000 TRY.

In 2023 the cost of material for one robot was 92 000 TRY.

(vi) Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023?

Select **one** answer.

(1)

- ☒ **A** 1.30%
- ☒ **B** 13.04%
- ☒ **C** 15.00%
- ☒ **D** 86.96%

(b) Define the term **stakeholder**. (1)

(c) Define the term **social enterprise**. (1)

(d) State **one** non-current asset that *Saha* is likely to have. (1)

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24. Question 1 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

The price of a battery pack for a *Saha* robot is $90 each.

In 2023 it sold five battery packs every month.

(e) Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023.
You are advised to show your working.

(2)

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(f) Explain **one** advantage to a business of having limited liability.

(3)

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24. Question 1 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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(g) Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products.

(6)

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(Total for Question 1 = 20 marks)

24. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

25. Question 1 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

25. Question 1 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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25. Question 1 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

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(b) Define the term **branding.**

(1)

(c) Define the term **autonomy.**

(1)

25. Question 1 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

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25. Question 1 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

CCT has a website for bookings and a social media page that provides information to its customers. It now wants to introduce an app that can be downloaded by its customers to make it easier to make and track bookings.

(g) Analyse the concerns *CCT* may have of introducing this app for its customers.

(6)

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(Total for Question 1 = 20 marks)

25. Question 1 · part f · 3 marks · Working and answer

Working and answer

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26. Question 1 · part f · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

O Levels .COM SCHOOL

26. Question 1 · part f · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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OLevels.COM SCHOOL

P 7 8 9 6 9 A 0 4 2 0

26. Question 1 · part f · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

Figure 1 shows the total costs for *Ocean Vibes* in 2022 and 2023.

Year	€
2022	380 000
2023	420 000

Figure 1

(vi) Which **one** of the following is the percentage change in the total costs between 2022 and 2023?

(1)

Select **one** answer.

- ☒ **A** 0.90%
- ☒ **B** 9.52%
- ☒ **C** 10.53%
- ☒ **D** 90.48%

(b) Define the term **primary sector**.

(1)

(c) Define the term **shareholder**.

(1)

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26. Question 1 · part f · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

(d) State **one** benefit to *Ocean Vibes* of using competition pricing.

(1)

The price of an *Ocean Vibes* boat tour is €60 (euros) per person.

The exchange rate is €1 = £0.95 (UK pounds)

(e) Calculate the price of a boat tour in UK pounds (£). You are advised to show your working.

(2)

£

OLevels.COM SCHOOL

(f) Explain **one** advantage to an individual of being a sole trader.

(3)

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26. Question 1 · part f · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

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Employee satisfaction is one way to measure success in a business.

(g) Analyse why *Ocean Vibes* should measure employee satisfaction.

(6)

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(Total for Question 1 = 20 marks)

26. Question 1 · part f · 3 marks · Working and answer

Working and answer

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27. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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3 (a) Define the term **economies of scale**.

(1)

(b) Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix.

(2)

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Figure 3 is an extract of financial information from a *Four Fitness* monthly cash flow forecast.

	€
Cash inflow	60 000
Closing balance	21 500
Cash outflow	48 600

Figure 3

(c) Calculate the net cash flow balance. You are advised to show your working.

(2)

€ .....

27. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

Four Fitness will need to externally recruit a Marketing Manager when it opens a third gym.

(d) Analyse the benefits to *Four Fitness* of recruiting externally.

(6)

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27. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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Gianni Polvani operates *Four Fitness* as a sole trader. He is considering a change to the ownership of the business and is looking at two options:

Option 1: a partnership with three of his employees

Option 2: a private limited company.

(e) Justify which **one** of these two options Gianni should choose.

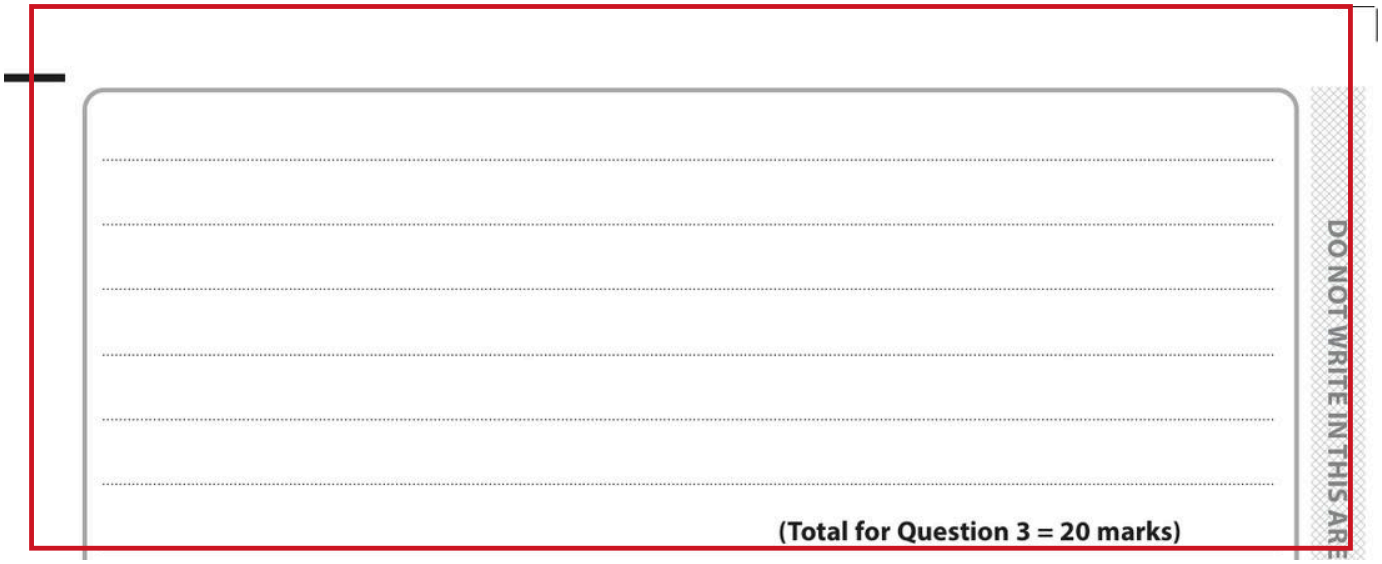
(9)

OLevels.com SCHOOL

27. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.



OLevels.COM
SCHOOL

27. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

28. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

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4 The minimum wage in the UK is £7.70. The UK Government is looking to increase this by 2.5%.

(a) Calculate the new minimum wage after an increase of 2.5%. You are advised to show your working.

(2)

£.....

OLevels.COM — SCHOOL —

28. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

(b) Analyse the benefits for *TADS* of using below-the-line promotion.

(6)

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28. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

At the moment *TADS* operates as a sole trader. As it becomes more successful Ollie is considering becoming a private limited company.

(c) Evaluate whether *TADS* should consider becoming a private limited company. You should use the information provided as well as your own knowledge of business.

(12)

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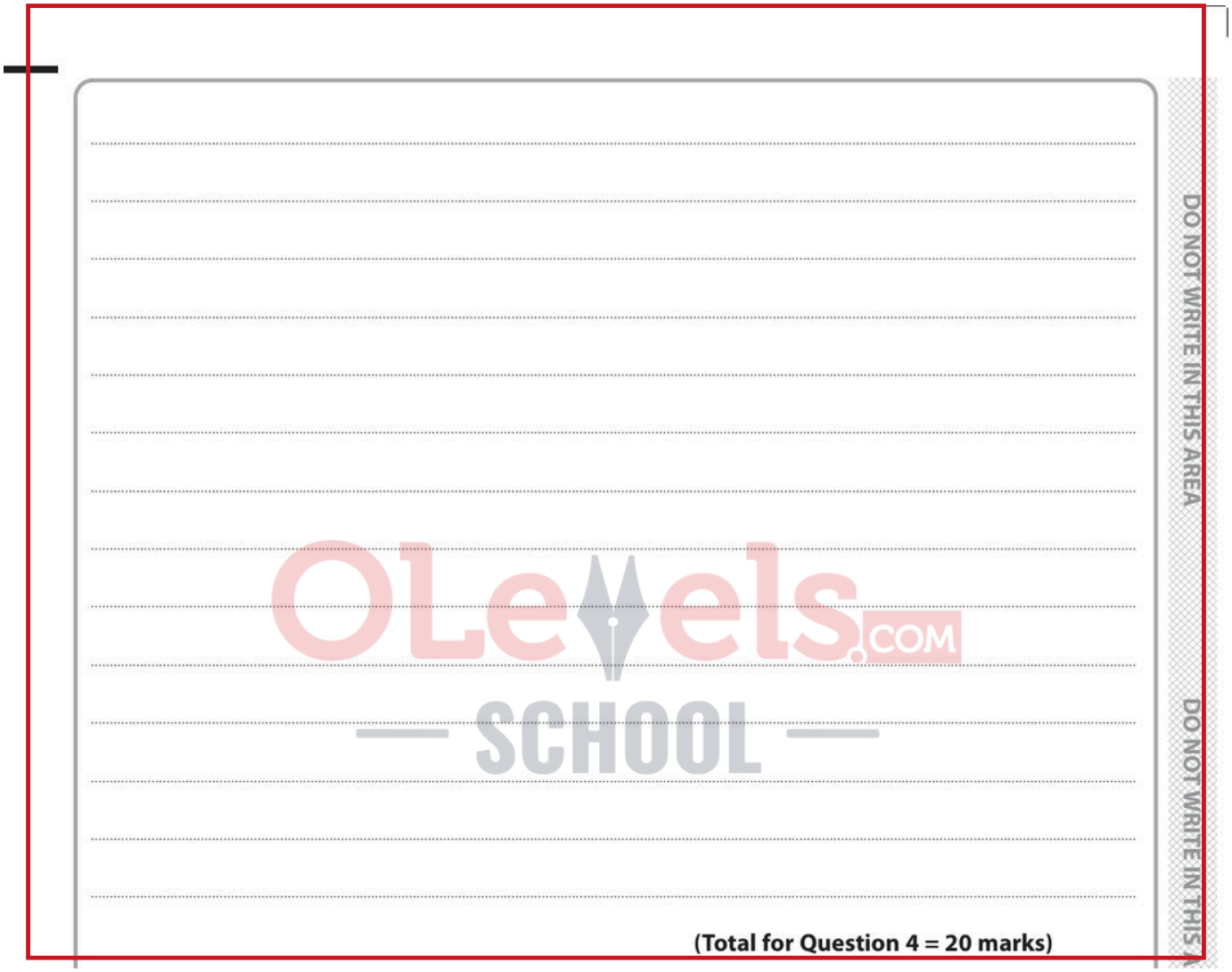
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28. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.



28. Question 4 · part c · 12 marks · Working and answer

Working and answer

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